Economics — Choices and Trade-offs

Introductory economics · Sample notes

Scarcity

Scarcity means available resources are limited relative to people's wants. Because we can't have everything, every choice involves giving something up.

Opportunity cost

Opportunity cost is the value of the next-best alternative forgone.

> *If you spend an evening studying instead of working a paid shift, the opportunity cost is the pay you would have earned.*

Incentives

An incentive changes the costs or benefits of an action and can influence decisions.

Thinking at the margin

Marginal thinking compares the additional benefit and additional cost of a choice.